

your money back on an investment? To measure risk and return, I have simply assigned a scale from 0 to 10 that can be applied to each investment. Zero represents the least return or the least risk, and 10 represents the highest risk or highest return. Therefore, an investment with an income potential of 0 and a risk factor of 10 would represent the worst possible investment. An investment with an income potential of 10 and a risk of 0 would be the best investment. You can't find those, by the way.

The investments will be divided into 5 basic tiers.

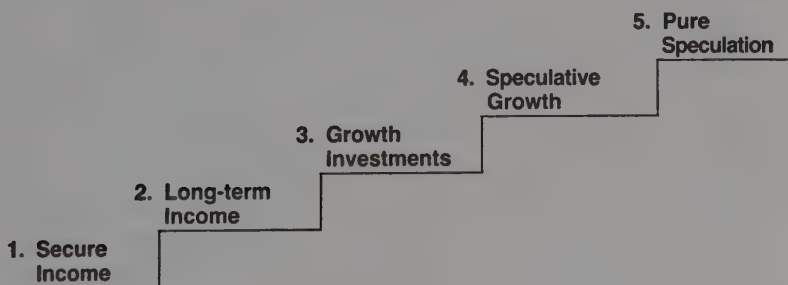
(1) *Secure income*—an investment you would select primarily because it generates cash.

(2) *Long-term income*—investments selected for their duration of earnings.

(3) *Growth investments*—the investment group that is selected primarily for long-term appreciation. Housing would be an example.

(4) *Speculative growth*—a mix between growth and speculation.

(5) *Pure speculation*—These are high-risk investments that are selected for their volatility and growth potential.



Again, any counsel given in this section is my opinion. It should not be accepted as an absolute. Times and economic conditions are constantly changing, and the kinds of investments that will have a certain degree of return or risk will change with the economy. When interest rates are high and